

VELUSE AGENCY STANDARD OPERATING PROCEDURE (SOP) DEPARTMENT:

Revenue Architecture & Executive Operations **SUBJECT:** The Mathematics of Scaling (Unit Economics & Rules of Thumb) **PURPOSE:** To establish the exact mathematical benchmarks Veluse Agency must hit to scale our BioOps Med Spa infrastructure to \$100M+. Business is not a guessing game; it is an economic machine where raw inputs are transformed into highly valuable outputs 1. To win, we must rigorously track our unit economics, engineer our LTV to CAC ratios based on human operational drag, and weaponize our 30-day cash flow to execute Customer-Financed Acquisition (CFA).

PART 1: THE 12 "MATHEMATICS OF SCALING" RULES OF THUMB

To evaluate whether Veluse Agency or our Med Spa clients are operating efficiently, we audit the business against these 12 fundamental mathematical rules of thumb:

1. **Close Rates vs. Pricing:** If you close >80% of prospects, you are underpriced by 3x to 4x 2. If you close 60-80%, you are underpriced by 2x to 3x 2. A properly priced service with a fully dialed sales motion should close at 30% to 40% 3.
2. **LTV to CAC Ratio:** The fundamental unit of economic arbitrage (how much it costs to make more money). This ratio must scale from 3:1 up to 12:1 depending on how many humans are involved in your fulfillment cycle 4-6. *(Detailed in Part 2)*.
3. **The Rule of 100:** To break out of feast-or-famine volatility, you must commit to 100 outbound actions (or 100 minutes of ad creation, or \$100 in ad spend) every single day for 100 days 7, 8.
4. **Lead Response Time:** Leads must be contacted in under 60 seconds 9. Calling leads within this window yields an average 391% increase in sales 9.
5. **70% Calendar Utilization:** Sales reps should never be booked at 100% capacity. If a closer is 100% utilized, total lead conversion will drop 10. Hire more reps when calendars hit 70% to squeeze maximum juice from the opportunities 10, 11.
6. **The 30-Day Payback Period:** You must recover the Cost to Acquire a Customer (CAC) in under 30 days to unlock infinite, debt-free scale using credit cards 11, 12. *(Detailed in Part 3)*.
7. **80% Gross Margins:** For service businesses, 80% is the absolute minimum acceptable gross margin 13, 14. If you run at 70% instead of 90%, you don't just lose 20%—you literally halve your actual take-home profit per customer 15.
8. **30-Day Cash Collected:** The actual cash collected from a client in their first 30 days must be strictly greater than your CAC plus your Cost of Goods Sold (COGS) 16.
9. **Annual Revenue Retention:** For recurring B2B models (like our BioOps software), you must target 80%+ annual customer retention 17. 80% retention means an average client lifespan of 5 years, massively compounding enterprise value 18.
10. **Prepay Percentage:** You should always offer a discount or bonus for paying in full 19. With a properly structured incentive, you should expect 30% to 40% of clients to prepay for the year 20.
11. **Third-Party Financing:** Integrating a third-party financing partner yields an average 35% increase in overall sales by allowing prospects who couldn't afford the upfront cash to buy instantly 20.
12. **Industry Averages are Dumb:** Never benchmark Veluse Agency or our elite Med Spas against "industry standards." The average business is broke, highly leveraged, and mediocre; we do not use their failures as our metric for success 21.

PART 2: THE "LTV TO CAC" LEVERAGE THRESHOLDS

A fatal mistake made by amateur founders is blindly adopting the Silicon Valley "3:1 LTV to CAC" rule 4, 5. That rule only applies to software companies with zero human operational drag. At Veluse, we must scale our required LTV to CAC ratio proportionally to the number of humans required in our Attraction, Conversion, and Delivery phases 5.

Humans create lumpiness, inefficiency, and scaling friction. When you hire a new Med Spa setter or Veluse consultant, they will initially suck, and you must possess the cash padding to survive their training period 22. We mandate the following thresholds:

- **3:1 Ratio (Zero Humans):** If lead generation, checkout conversion, and digital delivery are 100% automated (pure SaaS), a 3:1 ratio is highly profitable 6.
- **6:1 Ratio (1 Human in the Loop):** If you run automated ads to an automated checkout, but a human must manually deliver the service (or vice-versa), you must target a 6:1 ratio to build in padding 6.
- **9:1 Ratio (2 Humans in the Loop):** If you use automated ads, but require a human sales team to close the deal, and a human team to fulfill the service, you must hit a 9:1 ratio to scale safely 22, 23.
- **12:1 Ratio (3 Humans in the Loop):** If a business relies on manual outbound outreach, human sales closers, and bespoke human delivery, they must demand a minimum 12:1 ratio 24.

The Veluse BioOps Advantage: Traditional Med Spa marketing agencies run on 3 humans in the loop (12:1 requirement). By transitioning Veluse into the BioOps AI infrastructure, we systematically replace human setters and human delivery with code. This removes our operational drag, dropping our required ratio closer to 3:1. This structural advantage means we can ruthlessly outspend all competitors on customer acquisition 6, 25.

PART 3: THE 30-DAY PAYBACK PERIOD & CUSTOMER-FINANCED ACQUISITION

The speed at which we recover our CAC dictates our ultimate growth velocity 26, 27. Veluse Agency's pricing and Med Spa offer stacks must be engineered to achieve a **Payback Period of under 30 days** 11.

The Mechanics of Customer-Financed Acquisition (CFA):

1. **The 30-Day Interest-Free Window:** Every business owner in the developed world has access to a commercial credit card, which provides 30 days of interest-free capital 11, 28.
2. **The Transaction:** If we spend \$100 on a credit card to acquire a Med Spa client, we are temporarily in debt 11, 29.
3. **The 30-Day Cash Collection:** We aggressively structure our onboarding to collect a large upfront fee (Big Head, Long Tail) 30, 31. If we collect \$300 in cash from that client within the first 30 days, we use \$100 to instantly pay off the credit card before interest accrues 28, 32.
4. **Infinite Scale:** At the end of the month, we have zero debt, we keep the remaining \$200 in profit, and we possess a permanent customer who will continue paying us recurring revenue 12, 28, 29.

If a customer's upfront payment covers the cost of acquiring them, the cost of delivering their service, and the cost of acquiring the *next* customer, cash completely ceases to be a

constraint on the business 33. We can max out the credit card every single day, letting the customers completely finance our hyper-growth 28, 33.